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Economist Letter

Japan's Economic Outlook for FY 2026 and FY 2027 (Aug 2026)

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<Real GDP growth forecast at 0.8% in FY 2026 and 1.3% in FY 2027>

1. Real GDP in the April–June quarter of 2026 grew by 1.1% on an annualized basis, marking the third consecutive quarter of positive growth, although all components of private final demand declined, including private consumption, private residential investment, and capital investment.
2. The economy is expected to show increasing signs of stagnation toward the end of FY 2026, as private consumption remains sluggish due to the decline in real purchasing power caused by accelerating inflation, while the pace of recovery in capital investment remains moderate due to the sharp rise in costs and heightened uncertainty stemming from the deterioration in the situation in the Middle East.
3. In FY 2027, household real purchasing power is expected to improve as inflation slows following the reduction in the consumption tax rate on food and beverages, leading private consumption to recover. Capital investment growth is also expected to accelerate as corporate earnings improve in response to lower raw material prices.
4. Real GDP growth is forecast at 0.8% in FY 2026 and 1.3% in FY 2027. The impact of the consumption tax rate reduction on real GDP growth is estimated at -0.1 percentage points in FY 2026 and +0.3 percentage points in FY 2027.
5. Consumer price inflation (all items excluding fresh food) is expected to accelerate into the 3% range by the end of FY 2026 as the sharp rise in import prices spreads to a broad range of items, including food and daily necessities. It should then slow into the 1% range in FY 2027 following the reduction in the consumption tax rate on food and beverages. Consumer price inflation is forecast at 2.3% in FY 2026 and 1.3% in FY 2027.

1. Positive annualized growth of 1.1% in the April–June quarter of 2026

Real GDP in the April–June quarter of 2026 increased by 0.3% from the previous quarter (1.1% on an annualized basis), marking the third consecutive quarter of positive growth. Domestic demand declined for the first time in three quarters, contributing -0.2 percentage points from the previous quarter. However, external demand made a large positive contribution of 0.5 percentage points to growth, mainly due to a decline in imports.

Private demand declined across all components: private consumption fell 0.0% from the previous quarter, private residential investment fell 0.5%, and capital investment fell 1.2%. However, the change in private inventories made a positive contribution of 0.3 percentage points from the previous quarter, leaving private demand unchanged at 0.0%.

Public demand declined by 0.8% from the previous quarter. Government consumption posted strong growth of 1.6%, partly reflecting the reduction in household consumption expenditure associated with the introduction of free high school tuition and free school lunches at elementary schools. However, public investment decreased by 0.1%, while changes in public inventories resulted in a large negative contribution of -0.5 percentage points from the previous quarter due to the release of crude oil from national reserves.

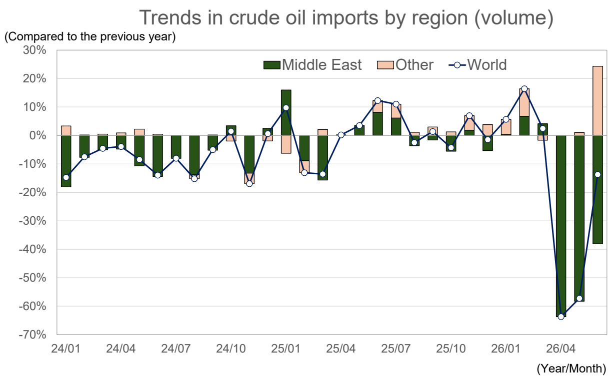
The contribution of external demand was positive for the third consecutive quarter, at 0.5 percentage points from the previous quarter (1.8 percentage points on an annualized basis). Exports of goods and services increased by 0.5% from the previous quarter, while imports of goods and services decreased by 1.5%. Goods exports fell by 1.0%, mainly reflecting a decline in exports to China, but services exports posted strong growth of 4.9% due to a sharp increase in research and development services associated with the transfer of patent rights overseas. Goods imports decreased by 1.6%, mainly due to a sharp decline in crude oil import volumes following the closure of the Strait of Hormuz. Services imports also decreased by 1.4%, as overseas travel remained sluggish.

Impact of the situation in the Middle East

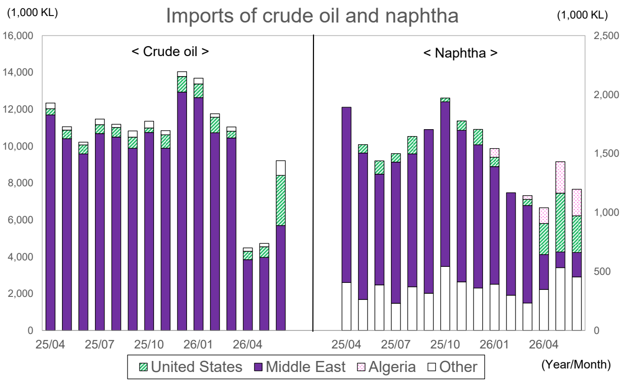
The U.S.-Israeli attack on Iran at the end of February 2026 and the subsequent effective closure of the Strait of Hormuz had a major impact on Japan's crude oil procurement, given the country's extremely high dependence on resources from the Middle East.

According to the Ministry of Finance's Trade Statistics, the impact on crude oil imports was still limited in March 2026 because crude oil had already passed through or departed from the Strait of Hormuz before the attack and arrived in Japan during that month. In April and May, however, crude oil import volumes plunged by 63.7% and 57.3%, respectively, compared to the previous year, mainly reflecting a sharp decline in imports from the Middle East, which had accounted for more than 90% of Japan's crude oil import volume in 2025. Subsequently, alternative procurement, mainly from the United States, increased alongside imports from Middle Eastern sources that do not pass through the Strait of Hormuz, and the decline in crude oil import volumes narrowed sharply to 13.7% compared to June 2025.

For naphtha, of which the Middle East accounted for about 70% of imports in 2025, import volumes from the Middle East have continued to decline sharply, but procurement from alternative sources has progressed, including sharp increases in imports from the United States and Algeria. The Middle East's share of crude oil imports fell from 94.0% in 2025 to 64.6% in June 2026, while the U.S. share rose from 3.8% in 2025 to 30.9% in June 2026. Meanwhile, the Middle East's share of naphtha imports fell sharply from 73.8% in 2025 to 17.3% in June 2026, while the U.S. share surged to 26.0% and Algeria's share to 18.8% (all figures are on a volume basis).



Source: "Trade Statistics," Ministry of Finance.



Source: "Trade Statistics," Ministry of Finance.

In terms of prices, the market price of Dubai crude surged to nearly USD 130 per barrel on a monthly average basis in March, remained elevated at above USD 100 in April and May, and then declined to around USD 80 from June onward. Meanwhile, the customs-cleared (arrival) price of crude oil surged from the USD 60 range per barrel in March to above USD 100 in April and to above USD 110 in May and June. As crude oil import volumes recovered while import prices rose sharply, the value of crude oil imports turned positive compared to June 2025.

The customs-cleared crude oil price originally includes premiums, tanker freight rates, insurance premiums, and other costs added to benchmark prices. Since tensions in the Middle East escalated, however, premiums and tanker freight rates have risen sharply, while import prices from the United States, an alternative source of supply, have been significantly higher than those from the Middle East. As a result, the gap between customs-cleared prices and market prices has widened substantially. As alternative procurement progresses, crude oil import prices are expected to decline by less than market prices, worsening the trade balance.

Impact of the consumption tax rate reduction

At an extraordinary Cabinet meeting on August 5, the government adopted a basic policy of reducing the consumption tax rate on food and beverages (excluding alcoholic beverages and dining out) from the current 8% to 1% for a limited period of two years starting in April 2027. The government also plans to "effectively reduce the rate to zero" by introducing benefits for low- and middle-income earners in advance that are equivalent to 1%. It intends to submit related legislation to an extraordinary session of the Diet in the autumn.

Reducing the consumption tax rate on food from 8% to 1% would reduce the burden on households by around JPY 4.5 trillion annually. The expected effects are lower prices and increases in private consumption and real GDP. According to NLI Research Institute's macroeconomic model, reducing the consumption tax rate on food from 8% to 1% would lower overall consumer prices by 1.4%, boost private consumption by 0.7%, and raise real GDP by 0.5%.

However, these estimates assume that the entire 7 percentage point reduction in the consumption tax rate is reflected in lower prices. In Japan, consumption tax rate increases have historically been passed on to prices almost entirely, but this does not necessarily mean that the same will apply when the tax rate is reduced. Moreover, previous consumption tax rate increases were often implemented during periods of deflation, whereas the upcoming rate reduction will take place when inflation has become entrenched, and price increases are commonplace. Thus, companies are unlikely to fully reduce prices by 7%.

It should also be noted that, unlike permanent income, temporary income resulting from a two-year time-limited measure is more likely to be saved. For temporary income such as past fixed cash benefits and regional promotion coupons, the share spent on consumption has been estimated at around 20–30%. Assuming a 70% pass-through rate and that around 30% of the increase in real income resulting from lower prices is spent on consumption, overall consumer prices would decline by 1.0%, private consumption would increase by 0.3%, and real GDP would rise by 0.2%, making the effects considerably smaller.

In addition, consumers are expected to postpone purchases ahead of the consumption tax rate reduction, followed by a rebound after the reduction. Because food and beverages are necessities, consumption volumes tend not to change significantly in response to moderate price changes, while fresh food and some other items cannot be stored for long periods. As a result, purchase postponement tends to be less pronounced than for durable goods such as automobiles. However, purchases of products that can be stored and bought in bulk, such as rice, canned foods, and frozen foods, may be postponed until after the tax reduction, when prices are expected to fall.

An examination of past consumption tax rate increases using the Family Income and Expenditure Survey (Statistics Bureau, Ministry of Internal Affairs and Communications) and the Current Survey of Commerce (Ministry of Economy, Trade and Industry) shows that although front-loaded demand for food was smaller than that for other goods and services, particularly durable goods, it nevertheless occurred to some extent.

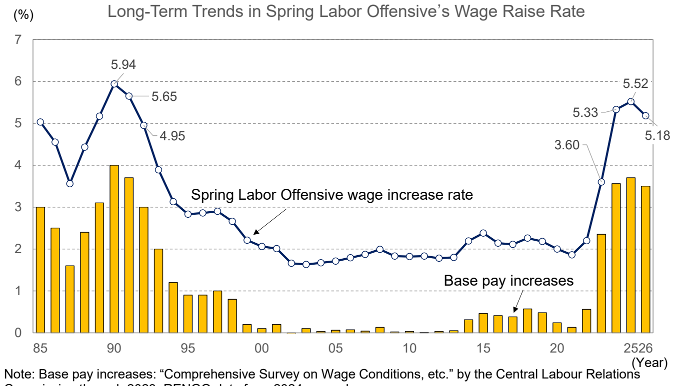
While purchases are expected to be postponed before the consumption tax rate reduction, consumption after the reduction will be boosted by both a rebound in purchases and an increase in real income resulting from lower consumer prices. In this outlook, we assume private consumption will fall by 0.4% in the January–March quarter of 2027 due to postponed food purchases, while it will rise by 0.4% in the April–June quarter due to the subsequent rebound. Private consumption is expected to post strong growth in the April–June quarter of 2027 as the rebound in purchases coincides with the increase in real income. Large fluctuations in consumption around the consumption tax rate reduction will make it harder to discern the underlying trend.

Spring Labor Offensive wage increase rate in 2027 expected to be slightly lower than the previous year

According to the “Status of spring wage increase demands and settlements at major private-sector enterprises,” released by the Ministry of Health, Labor, and Welfare on July 31, the wage increase rate in 2026 was 5.18%, 0.34 percentage points below the 5.52% recorded in 2025. Nevertheless, it remained above 5% for the third consecutive year since 2024, when it reached its highest level in 33 years. According to the Japanese Trade Union Confederation’s (Rengo) “2026 Spring Labor Offensive: Final Results of Responses,” the average wage increase rate in 2026 was 5.01% (5.25% in 2025), while the “wage increase component,” equivalent to a base pay increase, was 3.50% (3.70% in 2025).

We forecast that the wage increase rate in the 2027 Spring Labor Offensive will be 5.10%, based on the Ministry of Health, Labor, and Welfare’s “Status of spring wage increase demands and settlements at major private-sector enterprises,” slightly below the 2026 level. Although companies are expected to continue facing severe labor shortages, soaring raw material prices resulting from the deteriorating situation in the Middle East are likely to weigh on corporate earnings, slowing the wage increase rate.

Long-Term Trends in Spring Labor Offensive’s Wage Raise Rate



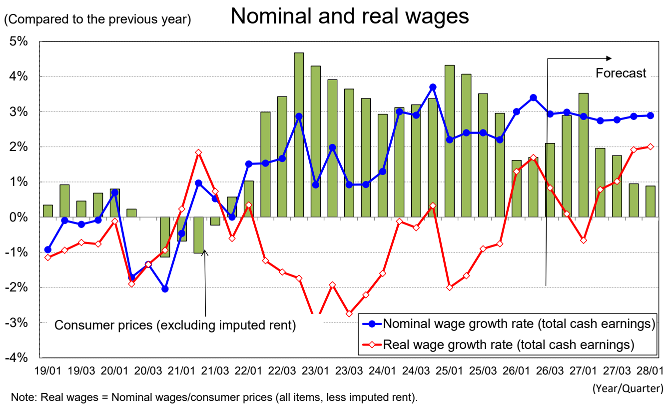
Note: Base pay increases: “Comprehensive Survey on Wage Conditions, etc.” by the Central Labour Relations Commission through 2023; RENGO data from 2024 onward.

Source: “Status of spring wage increase demands and settlements at major private-sector enterprises,” Ministry of Health, Labour and Welfare.

Recent high wage demands have largely reflected efforts to respond to rising prices. Therefore, future price developments will be an important factor in assessing the outlook for the 2027 Spring Labor Offensive. Consumer price inflation is expected to accelerate and reach the 3% range by early 2027, when spring wage negotiations get into full swing. This is likely to push up wage demands. On the other hand, the expected decline in inflation in FY 2027 resulting from the reduction in the consumption tax rate on food and beverages may help restrain wage demands.

Although the wage increase rate in the 2027 Spring Labor Offensive is forecast to remain high, it is expected to decline for the second consecutive year. A wage increase rate of around 5% corresponds to a base pay increase in the mid-3% range after excluding regular annual wage increases, and thus remains above the Bank of Japan’s 2% price stability target. This rate should be sufficient to keep real wage growth positive.

Real wages, calculated by deflating nominal wages by consumer prices (all items less imputed rent), rose by 0.7% compared to the previous year in January 2026, turning positive for the first time in 13 months, and have remained positive for six consecutive months. In addition to nominal wages (total cash earnings) accelerating from slightly above 2% during 2025 to the 3% range after the start of 2026, a substantial slowdown in the rate of increase in consumer prices (all items less imputed rent), partly due to government measures to ease the burden of energy costs, has contributed to higher real wages.



Note: Real wages = Nominal wages/consumer prices (all items, less imputed rent).
Source: “Monthly Labour Survey(business establishment size of 5 or more),” Ministry of Health, Labour and Welfare.

Real wage growth is expected to gradually slow as consumer price inflation accelerates and temporarily turn negative toward the end of FY 2026. However, it is expected to return to positive territory after the start of FY 2027, when consumer price inflation is projected to slow following the reduction in the consumption tax rate on food and beverages.

2. Real GDP growth forecast at 0.8% in FY 2026 and 1.3% in FY 2027

The economy is expected to show increasing signs of stagnation toward the end of FY 2026

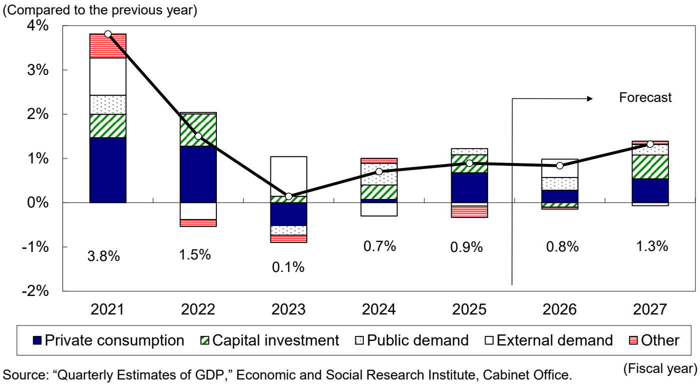
The Japanese economy grew at a pace above its potential growth rate, estimated to be in the mid- to upper-0% range, for three consecutive quarters from the October–December quarter of 2025 through the April–June quarter of 2026. However, the pace of recovery is expected to slow going forward. Corporate goods prices, which are upstream of consumer prices, have already risen sharply. Looking ahead, price increases are expected to spread across a broad range of items, including food and daily necessities, causing consumer price inflation to accelerate again. Private consumption is expected to remain sluggish, mainly due to the decline in real purchasing power caused by higher prices, and is likely to fall from the previous quarter in the January–March quarter of 2027, partly due to purchases being postponed until after the reduction in the consumption tax rate on food and beverages.

Capital investment continues to recover on an underlying basis, supported by high corporate earnings. However, the pace of recovery is likely to remain moderate for the time being due to the sharp rise in costs and heightened uncertainty stemming from the deteriorating situation in the Middle East. Although global AI-related demand will support exports, overall export growth is expected to remain moderate because exports to China, where the economy remains sluggish mainly due to weak domestic demand, will remain subdued amid the lingering negative impact of the situation in the Middle East. Exports are unlikely to serve as the main driver of economic growth.

In FY 2027, household real purchasing power is expected to improve as inflation slows following the consumption tax rate reduction, leading private consumption to recover. Capital investment growth is also expected to accelerate as corporate earnings improve in response to lower raw material prices. In the April–June quarter of 2027, the economy is expected to post strong annualized growth of 2.7%, mainly because private consumption will increase sharply as the rebound from purchases postponed ahead of the consumption tax rate reduction is compounded by improved real purchasing power. Thereafter, annualized growth in the 1% range, above the potential growth rate, is expected to continue, led mainly by domestic private demand such as private consumption and capital investment.

Real GDP growth is forecast at 0.8% in FY 2026 and 1.3% in FY 2027. NLI Research Institute estimates that purchases postponed ahead of the reduction in the consumption tax rate on food and beverages will lower the level of real GDP in FY 2026 by 0.1%, while the subsequent rebound and improvement in real purchasing power resulting from lower inflation will raise the level of real GDP in FY 2027 by 0.3%. The impact on real GDP growth is estimated at -0.1 percentage points in FY 2026 and +0.3 percentage points in FY 2027.

Real GDP growth rate changes (fiscal year)



Source: "Quarterly Estimates of GDP," Economic and Social Research Institute, Cabinet Office.

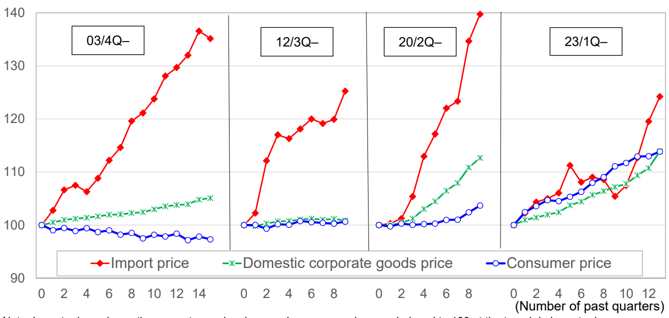
Inflation outlook

The consumer price index (all items excluding fresh food; hereafter, core CPI) rose by 1.9% compared to the previous year in January 2026, falling below 2% for the first time in three years and ten months since March 2022, and has remained in the 1% range for six consecutive months through June. The main reasons for the slowdown in consumer price inflation are declining energy prices, reflecting the previous decline in crude oil prices, the abolition of the provisional gasoline tax rate, and measures to subsidize electricity and gas bills, as well as the continued slowdown in food price inflation since the summer of 2025. Food prices (excluding fresh food) in July 2025 peaked at an 8.3% increase compared to the previous year and slowed for 11 consecutive months to 3.1% in June 2026, lowering core CPI inflation by more than 1 percentage point over this period. However, import price inflation for food and beverages, which is upstream of consumer prices, has already accelerated and is expected to feed through to downstream consumer food prices going forward.

Even as crude oil prices remain elevated amid heightened tensions in the Middle East, subsidy policies have kept energy-related prices in check. Support measures for electricity and gas bills ended temporarily in April but were resumed for usage from July, with the impact reflected in consumer prices from August. Similar support measures were also implemented last summer, but the subsidy amount is larger this time, making the measures a factor pushing down core CPI inflation. Meanwhile, higher import prices, particularly for crude oil, are expected to spread to a wide range of items, including food and daily necessities.

In recent years, companies have become more willing than before to pass higher costs on to selling prices. During previous periods of rising import prices, the pass-through rate generally declined as price increases moved from upstream to downstream stages, meaning that the magnitude of price increases tended to be largest for import prices, followed by domestic corporate goods prices and consumer prices. Since 2023, however, greater pass-through to domestic corporate goods prices and consumer prices has narrowed the gap between upstream and downstream price increases. In particular, domestic corporate goods prices and consumer prices have risen at broadly similar rates, suggesting a change in corporate price-setting behavior.

Rising Price Pass-Through from Upstream to Downstream



Note: Import prices, domestic corporate goods prices, and consumer prices are indexed to 100 at the trough in import prices. Import prices exclude petroleum, coal, and natural gas; domestic corporate goods prices exclude petroleum and coal products, electricity, city gas, and water; consumer prices cover goods excluding fresh food and energy.

Source: “Consumer price Index,” Statistics Bureau, Ministry of Internal Affairs and Communications; “Corporate goods price index (CGPI),” Bank of Japan.

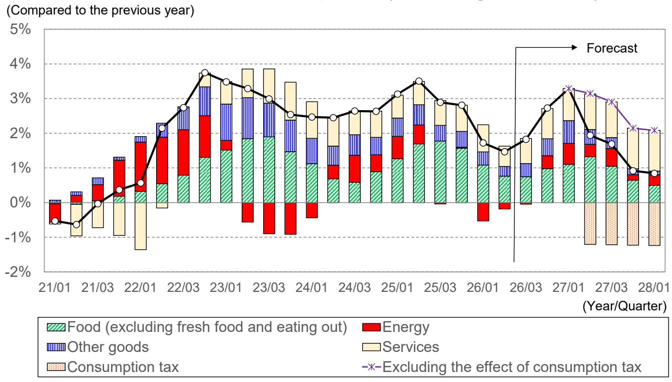
This outlook assumes that support measures for gasoline, kerosene, and other fuels will continue through FY 2027, albeit on a reduced scale, and that support measures for electricity and gas bills, which were resumed in the summer of 2026, will also continue through FY 2027 on a reduced scale following the subsequent decline in crude oil prices.

Core CPI inflation is expected to continue accelerating from the current mid-1% range through FY 2026, rising into the 2% range around autumn 2026 and reaching the 3% range toward the end of FY 2026. From April 2027 onward, the reduction in the consumption tax rate on food and beverages is expected to lower core CPI inflation by around 1.2 percentage points. However, this outlook assumes a pass-through rate of around 70% for the consumption tax rate reduction.

Excluding the impact of the consumption tax rate reduction, core CPI inflation is expected to remain in the 3% range for some time after the start of FY 2027 before gradually slowing as crude oil prices decline and the yen appreciates, reaching around 2% by the end of FY 2027. However, the outlook is subject to extremely high uncertainty because inflation will be heavily influenced not only by the situation in the Middle East and the resulting movements in crude oil prices and exchange rates, but also by government measures to address rising prices.

Core CPI inflation is forecast at 2.3% in FY 2026 and 1.3% in FY 2027 (2.5% excluding the impact of the consumption tax rate reduction), following 2.7% in FY 2025.

Forecast of consumer prices (excluding fresh food)



Source: “Consumer Price Index,” Statistics Bureau, Ministry of Internal Affairs and Communications.

Outlook for the Japanese economy

(Units,%) Previous Forecast (2026.6)

	FY 2024 Actual	FY 2025 Actual	FY 2026 Forecast	FY 2027 Forecast	25/4-6 Actual	25/7-9 Actual	25/10-12 Actual	26/1-3 Actual	26/4-6 Actual	26/7-9 Forecast	26/10-12 Forecast	27/1-3 Forecast	27/4-6 Forecast	27/7-9 Forecast	27/10-12 Forecast	28/1-3 Forecast	Previous Forecast (2026.6) FY 2026 Forecast	Previous Forecast (2026.6) FY 2027 Forecast
Real GDP	0.7	0.9	0.8	1.3	0.2	- 0.4	0.2	0.5	0.3	0.1	0.2	0.1	0.7	0.3	0.3	0.3	0.5	1.1
					0.7	- 1.8	1.0	1.9	1.1	0.2	0.8	0.2	2.7	1.2	1.2	1.4		
					2.1	0.6	0.4	0.5	0.7	1.1	1.0	0.6	1.0	1.2	1.3	1.7		
Contribution to domestic demand	(1.0)	(1.0)	(0.4)	(1.4)	(0.2)	(- 0.3)	(0.2)	(0.2)	(- 0.2)	(0.3)	(0.2)	(- 0.0)	(0.7)	(0.3)	(0.3)	(0.3)	(0.4)	(1.1)
Private demand	(0.5)	(0.9)	(0.1)	(1.2)	(0.1)	(- 0.3)	(0.1)	(0.0)	(0.0)	(0.0)	(0.2)	(- 0.1)	(0.7)	(0.2)	(0.3)	(0.3)	(0.3)	(0.9)
Public demand	(0.5)	(0.1)	(0.3)	(0.2)	(0.1)	(- 0.0)	(0.1)	(0.1)	(- 0.2)	(0.3)	(0.0)	(0.0)	(0.0)	(0.1)	(0.0)	(0.0)	(0.1)	(0.2)
Contribution to external demand	(- 0.3)	(- 0.1)	(0.4)	(- 0.1)	(- 0.0)	(- 0.2)	(0.1)	(0.3)	(0.5)	(- 0.2)	(- 0.0)	(0.1)	(- 0.1)	(0.0)	(- 0.0)	(0.0)	(0.1)	(- 0.0)
Private final consumption expenditure	0.1	1.3	0.5	1.0	0.1	0.5	0.1	0.5	- 0.0	0.1	0.1	- 0.4	1.0	0.1	0.2	0.2	0.4	0.6
Private residential investment	- 0.4	- 2.6	- 0.4	0.1	0.5	- 8.0	5.0	0.9	- 0.5	- 0.9	- 0.8	0.3	0.5	- 0.1	0.3	- 0.2	- 0.1	- 0.3
Private nonresidential investment	1.8	2.3	- 0.5	3.0	1.4	- 0.3	1.3	- 1.0	- 1.2	0.6	0.3	0.5	0.9	1.0	0.8	0.8	1.1	2.6
Government final consumption expenditure	2.3	0.8	1.9	0.5	0.5	0.1	0.4	0.4	1.6	- 0.5	0.1	0.2	0.2	0.2	0.1	0.2	0.7	0.6
Public investment	0.1	- 0.3	0.3	0.3	0.7	- 1.1	- 0.4	1.5	- 0.1	- 0.4	0.0	0.1	- 0.2	0.4	0.2	0.3	- 0.2	0.2
Exports of goods & services	2.7	2.0	2.5	2.5	1.6	- 1.4	0.1	1.7	0.5	0.6	0.6	0.6	0.6	0.7	0.5	0.7	- 0.1	2.3
Import of goods & services	4.0	2.5	0.4	3.1	1.8	- 0.6	- 0.1	0.3	- 1.5	2.0	0.8	0.2	1.1	0.7	0.6	0.6	- 0.7	2.4
Nominal GDP	4.0	4.3	2.5	3.4	1.8	0.3	0.9	0.7	1.2	- 0.3	0.6	0.7	1.5	0.8	0.6	0.8	1.4	4.1

Note: For real GDP, figures are quarter-on-quarter (top), annualized (middle), and annual changes (bottom). All other demand components are quarter-on-quarter changes.

< Main Accounting Indicators >

(Units,%)

	FY 2024	FY 2025	FY 2026	FY 2027	25/4-6	25/7-9	25/10-12	26/1-3	26/4-6	26/7-9	26/10-12	27/1-3	27/4-6	27/7-9	27/10-12	28/1-3	FY 2026	FY 2027
Industrial production (QoQ)	- 1.5	- 0.2	1.2	0.8	- 0.5	- 1.1	0.3	2.5	0.2	- 1.3	0.5	0.1	0.5	0.2	0.2	0.3	0.7	1.0
Domestic corporate goods prices (YoY)	3.3	2.7	6.8	1.7	3.3	2.6	2.6	2.5	6.4	7.5	6.9	6.5	2.1	1.4	1.7	1.7	8.4	1.9
Consumer prices (YoY)	3.0	2.6	2.3	1.2	3.4	2.9	2.7	1.4	1.5	1.8	2.7	3.3	1.8	1.5	0.7	0.7	2.5	2.4
Consumer prices (excluding fresh food)	2.7	2.7	2.3	1.3	3.5	2.9	2.8	1.7	1.5	1.8	2.7	3.3	1.9	1.7	0.9	0.8	2.5	2.4
(excluding consumption tax)	(2.7)	(2.7)	(2.3)	(2.5)	(3.5)	(2.9)	(2.8)	(1.7)	(1.5)	(1.8)	(2.7)	(3.3)	(3.1)	(2.9)	(2.1)	(2.0)	(2.5)	(2.4)
Current account balance (¥trillion)	30.0	34.6	27.5	29.5	29.4	35.6	33.1	39.5	34.7	25.7	24.9	24.7	29.1	29.6	30.0	29.5	24.7	25.0
(Ratio to nominal GDP)	(4.7)	(5.1)	(4.0)	(4.1)	(4.4)	(5.3)	(4.9)	(5.8)	(5.0)	(3.7)	(3.6)	(3.6)	(4.1)	(4.2)	(4.2)	(4.1)	(3.6)	(3.5)
Unemployment rate (%)	2.5	2.6	2.5	2.4	2.5	2.5	2.6	2.7	2.5	2.5	2.5	2.5	2.4	2.4	2.4	2.4	2.7	2.6
Housing starts (10 thousand)	81.6	71.1	74.9	75.2	62.0	71.9	75.6	74.7	75.6	74.9	74.4	74.8	75.3	75.4	75.3	74.8	74.3	74.5
Call rate (target rate)	0.50	0.75	1.50	1.75	0.50	0.50	0.75	0.75	1.00	1.25	1.25	1.50	1.50	1.75	1.75	1.75	1.25	1.50
10-year government bond rate	1.0	1.8	2.8	2.9	1.4	1.6	1.8	2.2	2.6	2.8	2.9	2.8	2.8	2.9	2.9	2.9	2.6	2.7
USD/JPY	152	151	159	156	145	147	154	157	159	160	160	158	157	156	156	155	158	152
Crude oil price (CIF, Dollar/Barrel)	83	71	95	81	76	72	71	67	113	95	89	84	82	80	80	80	105	85
Ordinary profit (YoY)	7.2	8.7	4.1	7.0	0.2	19.7	4.7	14.6	7.7	3.5	2.4	2.3	7.6	5.7	6.8	7.6	2.2	7.3

Note: 10-year JGB yield, exchange rate, and crude oil price are period averages. Call rate is the period-end uncollateralized overnight rate (upper bound if a range). Ordinary profit for Apr–Jun 2026 is forecast.

Sources: "Quarterly Estimates of GDP," Economic and Social Research Institute, Cabinet Office; "Indices of Industrial Production," Ministry of Economy, Trade and Industry; "Consumer Price Index," Ministry of Internal Affairs and Communications; "Financial Statements Statistics of Corporations by Industry, Quarterly," Ministry of Finance and others.

Outlook for the U.S. economy

		2024	2025	2026	2027	2025				2026				2027			
						1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12
		Actual	Actual	Forecast	Forecast	Actual	Actual	Actual	Actual	Actual	Actual	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast
Real GDP	Annual rate,% QoQ	2.8	2.1	2.1	2.0	- 0.6	3.8	4.4	0.5	2.1	1.5	2.2	1.9	2.0	2.0	2.0	2.0
FF rate target	End of period, Upper,%	4.50	3.75	3.75	3.75	4.50	4.50	4.25	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
10-year UST yield	Average,%	4.3	4.3	4.4	4.3	4.4	4.4	4.2	4.1	4.2	4.4	4.6	4.5	4.4	4.3	4.3	4.3

Outlook for the European (Euro area) economy

		2024	2025	2026	2027	2025				2026				2027			
						1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12
		Actual	Actual	Forecast	Forecast	Actual	Actual	Actual	Actual	Actual	Revised	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast
Real GDP	Annual rate,% QoQ	1.0	1.2	0.9	1.3	2.3	- 0.0	1.3	0.8	0.0	1.8	0.9	1.0	1.4	1.4	1.3	1.3
Deposit facility rate	End of period,%	3.00	2.00	2.50	2.00	2.50	2.00	2.00	2.00	2.00	2.25	2.50	2.50	2.25	2.00	2.00	2.00
German 10 year government bond rate	Average,%	2.3	2.6	3.0	2.7	2.5	2.5	2.7	2.7	2.8	3.0	3.0	3.0	2.8	2.7	2.7	2.7
Exchange rate against the dollar	Average, Dollars	1.09	1.13	1.16	1.17	1.05	1.13	1.17	1.16	1.17	1.16	1.15	1.16	1.16	1.16	1.17	1.17

